



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

*57th Legislature, 2nd Regular Session
Majority Research Staff*

HB 2728: department of economic security; continuation

BLISS FLOOR AMENDMENT

1. Outlines evaluation and verification requirements for DES to confirm eligibility for SNAP benefits.
2. Contains provisions relating to hospital reporting of patient immigration status.
3. Contains provisions relating to the SNAP payment error rate.

ADDITIONAL COW
BLISS FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2728
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 23-634.01, Arizona Revised Statutes, is
3 amended to read:

4 23-634.01. Denial of benefits for failure to accept suitable
5 work or actively seek work; definition

6 A. Notwithstanding section 23-776, an individual who is found by
7 the department, with respect to any week in an eligibility period [which]
8 [THAT] begins from and after April 4, 1981, to have failed to apply for or
9 accept available suitable work to which [he] [THE INDIVIDUAL] was referred
10 by the department or to have failed to actively engage in seeking work is
11 disqualified from receiving extended benefits. The disqualification shall
12 begin with the week in which the failure occurred and continue until the
13 individual has been employed in each of four subsequent weeks, whether or
14 not consecutive, and has earned remuneration equal to [not less than] [AT
15 LEAST] four times [his] [THE INDIVIDUAL'S] weekly benefit amount.

16 B. An individual shall not be denied extended benefits for failure
17 to accept an offer of or apply for available suitable work as defined in
18 subsection G of this section, if:

19 1. The position was not offered to the individual in writing or was
20 not listed with the department.

21 2. The failure would not result in a denial of benefits under
22 section 23-776 to the extent that the criteria of suitability in section
23 23-776 are not inconsistent with this section.

24 C. If an individual furnishes evidence satisfactory to the
25 department that prospects for obtaining work in [his] [THE INDIVIDUAL'S]
26 customary occupation within a reasonably short period are good, the
27 determination of whether any work is suitable with respect to the

1 individual shall be made in accordance with ~~[the provisions of]~~ section
2 23-776 without reference to the definition contained in this section.

3 D. Work shall not be considered suitable work under this section if
4 it would not be considered suitable under section 23-776, subsection ~~[E]~~
5 ~~[E]~~.

6 E. For the purposes of this section, an individual shall be treated
7 as actively engaged in seeking work during any week if the department
8 finds from tangible evidence provided by the individual that ~~[he]~~ ~~[THE~~
9 ~~INDIVIDUAL]~~ has engaged in a systematic and sustained effort to obtain
10 work during such week.

11 F. The department shall refer an individual entitled to extended
12 benefits under this chapter to any work ~~[which]~~ ~~[THAT]~~ is suitable work.

13 G. For the purposes of this section, "suitable work" with respect
14 to any individual means work within the individual's capabilities in
15 which:

16 1. The gross average weekly wages payable for the work exceed the
17 sum of the individual's weekly benefit amount plus the amount of any
18 supplemental unemployment benefits payable to the individual for such
19 week.

20 2. The wages for the work are at least equal to the higher of:

21 (a) The minimum wages provided by section 6(a)(1) of the fair labor
22 standards act of 1938, without regard to any exemption.

23 (b) The state or local minimum wage.>>

24 <<Sec. 2. Section 23-762, Arizona Revised Statutes, is amended to
25 read:

26 23-762. Requirements of shared work plan; approval

27 A. An employer ~~[wishing]~~ ~~[THAT WISHES]~~ to participate in the shared
28 work unemployment compensation program shall submit a signed, written
29 shared work plan to the department for approval. The department shall
30 approve a shared work plan only if the plan:

31 1. Specifies the employees in the affected group.

32 2. Applies to only one affected group.

33 3. If feasible, includes a description of the employer's plan for
34 notifying an employee whose ~~[work week]~~ ~~[WORKWEEK]~~ is to be reduced.

35 4. Includes a certified statement by the employer that, for the
36 six-month period immediately preceding the date the plan is submitted,
37 compensation was payable from the shared work employer, or its
38 predecessors whether or not they were shared work employers, to each
39 employee in the affected group in an amount equal to or greater than the
40 wages for insured work in one calendar quarter as provided in section
41 23-771, subsection A, paragraph ~~[6-]~~ ~~[Z]~~. An employee who joins an
42 affected group after the approval of the shared work plan is automatically
43 covered under the previously approved plan, effective the week that the
44 department receives written notice from the shared work employer that the
45 employee has joined and certification from the employer that the employee
46 meets the provisions of section 23-771, subsection A, paragraph ~~[6-]~~ ~~[Z]~~.

1 5. Includes a certified statement by the employer that for the
2 duration of the plan the reduction in the total normal weekly hours of
3 work of the employees in the affected group is instead of layoffs ~~[which]~~
4 ~~[THAT]~~ otherwise would result in at least as large a reduction in the
5 total normal weekly hours of work. The employer shall include an estimate
6 of the number of layoffs that would have occurred without an approved
7 shared work plan.

8 6. Specifies the manner in which the employer will treat fringe
9 benefits of the employees in the affected group if the employees' hours
10 are reduced to less than their normal weekly hours of work. The employer
11 must certify, if the employer provides health benefits and retirement
12 benefits under a defined benefit plan to any employee whose workweek is
13 reduced under the plan, that these benefits will continue to be provided
14 to an employee participating in the shared work plan under the same terms
15 and conditions as though the workweek of the employee had not been reduced
16 or to the same extent as other employees not participating in the shared
17 work program.

18 7. Specifies an expiration date that is ~~[no]~~ ~~[NOT]~~ more than one
19 year ~~[from]~~ ~~[AFTER]~~ the date the employer submits the plan for approval,
20 except that on written request by the employer, the department may approve
21 an extension of the plan for a period of not more than one year ~~[from]~~
22 ~~[AFTER]~~ the date of the request.

23 8. Is approved in writing by the collective bargaining agent for
24 each collective bargaining agreement that covers any employee in the
25 affected group.

26 B. The plan prescribed in subsection A of this section and the
27 implementation of the plan must be consistent with the employer's
28 obligations under all other federal and state laws.

29 C. The department shall approve or disapprove the plan within
30 fifteen days after receipt of the plan by the department. The department
31 shall notify the employer of the reasons for denial of a shared work plan
32 within ten days ~~[of]~~ ~~[AFTER]~~ the determination.>>

33 <<Sec. 3. Section 23-763, Arizona Revised Statutes, is amended to
34 read:

35 23-763. Shared work benefits; eligibility; requirements

36 A. An individual is eligible to receive shared work benefits with
37 respect to any week only if, in addition to meeting the requirements of
38 article 6 of this chapter as modified by subsection E of this section, the
39 department finds that during the week:

40 1. The individual is employed as a member of an affected group in
41 an approved plan that was approved before the week and is in effect for
42 the week.

43 2. The individual's normal weekly hours of work were reduced at
44 least ten ~~[per cent]~~ ~~[PERCENT]~~ but not more than forty ~~[per cent]~~
45 ~~[PERCENT]~~.

46 3. The individual met the requirements of section 23-771,
47 subsection A, paragraphs 3~~[.]~~ ~~[and]~~ 4 ~~[AND 5]~~.

1 B. Eligible individuals may participate in training to enhance job
2 skills, including ~~[employer sponsored]~~ [EMPLOYER-SPONSORED] training or
3 worker training funded under the workforce investment act of 1998, if the
4 training is approved by the department.

5 C. The department shall not pay an individual shared work benefits
6 for more than twenty-six weeks in a benefit year, except that this
7 limitation does not apply to a week if for the period consisting of the
8 week and the immediately preceding twelve weeks the rate, not seasonally
9 adjusted, of insured unemployment in this state is equal to or greater
10 than four ~~[per cent]~~ [PERCENT].

11 D. The total amount of regular benefits and shared work benefits
12 that the department pays to an individual for weeks in the individual's
13 benefit year shall not exceed the total for the benefit year as provided
14 in section 23-780.

15 E. Notwithstanding section 23-621 or any other provision of this
16 chapter, for purposes of this article an individual is unemployed in any
17 week for which compensation is payable to the individual, as an employee
18 in an affected group, for less than the individual's normal weekly hours
19 of work in accordance with an approved plan in effect for the week.>>

20 <<Sec. 4. Section 23-771, Arizona Revised Statutes, is amended to
21 read:

22 23-771. Eligibility for benefits

23 A. An unemployed individual is eligible to receive benefits with
24 respect to any week only if the department finds that the individual:

25 1. Has registered for work at and thereafter has continued to
26 report at an employment office in accordance with the regulations
27 prescribed by the department.

28 2. Has made a claim for benefits in accordance with section 23-772.

29 3. Is able to work.

30 [4. IS AVAILABLE FOR WORK.]

31 [4.] [5.] Except for an individual who is applying for shared work
32 benefits pursuant to article 5.1 of this chapter, ~~[is available for work~~
33 ~~and both of the following apply:~~

34 ~~(a) The individual has engaged in a systematic and sustained effort~~
35 ~~to obtain work during at least four days of the week.~~

36 ~~(b) The individual has made at least one job contact per day on~~
37 ~~four different days of the week.]~~ [ACTIVELY SEEKS AND APPLIES FOR SUITABLE
38 WORK AND:

39 (a) CONDUCTS AT LEAST FIVE WORK SEARCH ACTIONS EACH WEEK IN ORDER
40 TO QUALIFY AS ACTIVELY SEEKING AND APPLYING FOR SUITABLE WORK. THE
41 ACTIONS SHALL INCLUDE ANY OF THE FOLLOWING:

42 (i) SUBMITTING RESUMES TO EMPLOYERS.

43 (ii) COMPLETING JOB APPLICATIONS AND SUBMITTING THE APPLICATIONS TO
44 EMPLOYERS.

45 (iii) ATTENDING JOB FAIRS THAT ARE RECOGNIZED BY THE DEPARTMENT AND
46 THE INDIVIDUAL'S ATTENDANCE IS VERIFIABLE BY THE DEPARTMENT.

47 (iv) ATTENDING INTERVIEWS WITH POTENTIAL EMPLOYERS.

1 (v) ATTENDING A DEPARTMENT-APPROVED TRAINING PROGRAM THAT INCLUDES
2 A RESUME WRITING SESSION, WHICH SHALL COUNT AS ONE WORK SEARCH ACTION FOR
3 THE WEEK THE INDIVIDUAL ATTENDED THE TRAINING PROGRAM.

4 (b) IF THE INDIVIDUAL IS APPLYING FOR A WEEKLY BENEFIT, PROVIDES A
5 WEEKLY REPORT TO THE DEPARTMENT THAT DETAILS THE INDIVIDUAL'S WORK SEARCH
6 ACTIONS FOR EVERY WEEK A BENEFIT IS SOUGHT.]

7 ~~[5.]~~ [6.] Has been unemployed for a waiting period of one week. A
8 week is not counted as a week of unemployment for the purpose of this
9 paragraph:

10 (a) Unless it occurs within the benefit year that includes the week
11 with respect to which the individual claims payment of benefits.

12 (b) Unless the individual was eligible for benefits with respect to
13 the week as provided in this section and sections 23-775, 23-776 and
14 23-777.

15 (c) If benefits have been paid in respect to the week.

16 ~~[6.]~~ [7.] Has met one of the following requirements:

17 (a) Has been paid wages for insured work during the individual's
18 base period equal to at least one and one-half times the wages paid to the
19 individual in the calendar quarter of the individual's base period in
20 which the wages were highest, and the individual has been paid wages for
21 insured work in one calendar quarter of the individual's base period equal
22 to an amount that is equal to at least three hundred ninety times the
23 minimum wage prescribed by section 23-363 that is in effect when the
24 individual files a claim for benefits.

25 (b) For a benefit year beginning on or after September 2, 1984, has
26 been paid wages for insured work during at least two quarters of the
27 individual's base period and the amount of the wages paid in one quarter
28 would be sufficient to qualify the individual for the maximum weekly
29 benefit amount payable under this chapter and the total of the
30 individual's base-period wages is equal to or greater than the taxable
31 limit as specified in section 23-622, subsection B, paragraphs 1 and 2.

32 ~~[7.]~~ [8.] Following the beginning date of a benefit year
33 established under this chapter or the unemployment compensation law of any
34 other state and before the effective date of a subsequent benefit year
35 under this chapter, has performed services whether or not in employment as
36 defined in section 23-615 for which wages were payable in an amount equal
37 to or in excess of eight times the weekly benefit amount for which the
38 individual is otherwise qualified under section 23-779. In making a
39 determination under this paragraph, the department shall use information
40 available in its records or require the individual to furnish necessary
41 information within thirty days after the date notice is given that the
42 information is required.

43 B. If an unemployed individual cannot establish a benefit year as
44 defined in section 23-609 due to receipt during the base period of
45 compensation for a temporary total disability pursuant to chapter 6 of
46 this title, or any similar federal law, the individual's base period shall
47 be the first four of the last five completed calendar quarters immediately

1 preceding the first day of the calendar week in which the disability
2 began. Wages previously used to establish a benefit year may not be
3 reused. This subsection does not apply unless all of the following occur:

4 1. The individual has filed a claim for benefits not later than the
5 fourth calendar week of unemployment after the end of the period of
6 disability.

7 2. The claim is filed within two years after the period of
8 disability begins.

9 3. The individual meets the requirements of subsection A of this
10 section.

11 4. The individual has attempted to return to the employment where
12 the temporary total disability occurred.

13 C. If an unemployed individual is a member of the national guard or
14 other reserve component of the United States armed forces, the individual
15 is not considered to be either employed or unavailable for work by reason
16 of the individual's participation in drill, training or other national
17 guard or reserve activity that occurs on not more than one weekend per
18 month or in lieu of a weekend drill or the equivalent.

19 D. The department shall not disqualify an individual from receiving
20 benefits under this chapter on the basis of the individual's separation
21 from employment if the individual is a victim of domestic violence and
22 leaves employment due to a documented case involving domestic violence
23 pursuant to section 13-3601 or 13-3601.02. Benefits paid to an individual
24 pursuant to this subsection shall not be charged against an employer's
25 account pursuant to section 23-727, subsection G.

26 E. The department shall not disqualify an individual from receiving
27 benefits under this chapter on the basis of the individual's separation
28 from employment if the individual was terminated from employment for not
29 receiving a COVID-19 vaccine or COVID-19 booster shot required by the
30 employer. Benefits paid to an individual pursuant to this subsection
31 shall not be charged against an employer's account pursuant to section
32 23-727 if the employer's requirement that employees receive the COVID-19
33 vaccine or COVID-19 booster shot is required by law.

34 F. For the purposes of subsection A, paragraph ~~[6-]~~ [Z] of this
35 section, wages shall be counted as wages for insured work for benefit
36 purposes with respect to any benefit year only if that benefit year begins
37 subsequent to the date on which the employing unit by which those wages
38 were paid has become an employer subject to this chapter.>>

39 <<Sec. 5. Section 23-773, Arizona Revised Statutes, is amended to
40 read:

41 23-773. Examination and determination of claims

42 A. A representative designated by the department as a deputy shall
43 promptly examine any claim for benefits and, on the basis of the facts
44 found by the deputy, shall determine whether ~~[or not]~~ the claim is valid.
45 If the claim is valid, the deputy shall also determine the week with
46 respect to which the benefit year shall commence, the weekly benefit
47 amount payable and the maximum duration of the benefit.

1 B. The deputy shall promptly notify the claimant and any other
2 interested parties of the determination and the reasons for the
3 determination. Except as provided in subsection D of this section, unless
4 the claimant or an interested party, within seven calendar days after the
5 delivery of notification, or within fifteen calendar days after
6 notification was mailed to the claimant's or interested party's last known
7 address, files an appeal from the determination, it shall become final,
8 and benefits shall be paid or denied in accordance with the determination.
9 The department shall adopt rules to allow an appeal to be filed in
10 writing, electronically or by telephone. If an appeal tribunal affirms a
11 determination of the deputy allowing benefits, or the appeals board
12 affirms a determination or decision allowing benefits, the benefits shall
13 be paid regardless of any appeal that may thereafter be taken, but if that
14 decision is finally reversed, no employer's account shall be charged with
15 benefits so paid.

16 C. On receipt of a request from an interested party for information
17 about a deputy's determination made pursuant to this section or section
18 23-673, the department shall make available by memorandum or other written
19 document within five days after receipt of the request the following
20 information:

21 1. The facts considered and the facts relied on in making the
22 determination.

23 2. The specific statutes, regulations or other authority relied on
24 in making the determination.

25 3. The reasoning applied in making the determination.

26 D. Before the time for appeal as prescribed in subsection B of this
27 section has expired, an interested party may request a reconsidered
28 determination. The department shall examine the request and, within seven
29 calendar days, deny the request or issue a reconsidered determination.
30 The interested party may prove that a response was timely filed by using
31 evidence of fax records that documents the date and time when a faxed
32 response was transmitted and received by the department. A request for
33 reconsideration that is denied shall be treated as an appeal, and the same
34 procedure shall be followed as provided for in case of appeal from the
35 original determination. If a reconsidered determination is issued, the
36 time for appeal shall run from the date of issuance of the reconsidered
37 determination. The employer and the claimant shall each be ~~[permitted no]~~
38 ~~[ALLOWED NOT]~~ more than one request for reconsideration on each case.

39 E. Before the actual filing of an appeal under subsection B of this
40 section, but not later than the time ~~[permitted]~~ ~~[ALLOWED]~~ to appeal, the
41 department on its own motion may issue a reconsidered determination.
42 After the time for appeal has expired, but within one year after the
43 issuance of the original determination, the department with authorization
44 of the unemployment insurance program administrator may issue a
45 reconsidered determination, on the basis of newly discovered evidence that
46 by due diligence could not have been previously discovered, if no
47 administrative or judicial review has occurred or is pending on the

1 original determination. If a redetermination is based on fraud, the ~~[one~~
2 ~~year]~~ [ONE-YEAR] limitation on the issuance of redeterminations does not
3 apply.

4 F. Prompt notice in writing of any reconsidered determination under
5 subsection E of this section and the reasons for reconsideration shall be
6 given to all interested parties. An interested party may appeal within
7 the time prescribed under subsection B of this section, and the same
8 procedure shall be followed as provided for in case of an appeal from the
9 original determination.

10 [G. IN DETERMINING THE VALIDITY OF CLAIMS PURSUANT TO SUBSECTION A
11 OF THIS SECTION, THE DEPARTMENT MAY NOT PAY BENEFITS FOR AN INITIAL OR
12 ONGOING CLAIM UNTIL THE INITIAL CLAIM IS CROSS-CHECKED, OR AN ONGOING
13 CLAIM IS CROSS-CHECKED ON A WEEKLY BASIS, AGAINST THE FOLLOWING DATA SETS:

14 1. THE NATIONAL ASSOCIATION OF STATE WORKFORCE AGENCIES' INTEGRITY
15 DATA HUB.

16 2. THE UNITED STATES DEPARTMENT OF HEALTH AND HUMAN SERVICES
17 NATIONAL DIRECTORY OF NEW HIRES.

18 3. THE DEPARTMENT OF ECONOMIC SECURITY'S NEW HIRE REPORTING SYSTEM.

19 4. THE STATE DEPARTMENT OF CORRECTIONS INMATE DATABASES OR A
20 THIRD-PARTY, COMMERCIALY AVAILABLE INCARCERATION DATA NETWORK.

21 5. THE SOCIAL SECURITY ADMINISTRATION'S PRISONER UPDATE PROCESSING
22 SYSTEM.

23 6. THE CENTERS FOR DISEASE CONTROL AND PREVENTION'S NATIONAL VITAL
24 STATISTICS SYSTEM'S DEATH RECORDS DATABASE.

25 7. THE DEPARTMENT OF HEALTH SERVICES BUREAU OF VITAL RECORDS' DEATH
26 RECORDS DATABASE OR A THIRD-PARTY, COMMERCIALY AVAILABLE DEATH RECORDS
27 DATABASE.

28 8. CURRENT EMPLOYMENT AND INCOME INFORMATION DELIVERABLE
29 INSTANTANEOUSLY VIA VERIFICATION SERVICES FROM EXTERNAL DATA SOURCES
30 PURSUANT TO SECTION 23-799.01.

31 H. TO MAKE THE MOST EFFECTIVE DETERMINATION OF THE POTENTIAL
32 VALIDITY OF CLAIMS, THE DEPARTMENT SHALL PRIORITIZE CROSS-CHECKING THE
33 MOST CURRENT DATA SETS, INCLUDING THOSE FROM A COMMERCIALY AVAILABLE
34 THIRD-PARTY DATABASE, BEFORE CROSS-CHECKING OLDER DATA SETS.

35 I. IF A CROSS-CHECK PURSUANT TO SUBSECTION G OF THIS SECTION
36 RESULTS IN INFORMATION INDICATING THAT A CLAIM IS INELIGIBLE OR
37 FRAUDULENT, THAT CLAIM MAY NOT BE PAID AND THE CLAIMANT SHALL BE
38 DISQUALIFIED FROM RECEIVING BENEFITS PURSUANT TO SECTION 23-778 AND
39 REFERRED FOR PROSECUTION.

40 J. THE DEPARTMENT SHALL EXAMINE ANY INITIAL CLAIM FOR BENEFITS AND
41 CONFIRM ITS VALIDITY BEFORE BENEFITS ARE PAID IF THE INITIAL CLAIM:

42 1. WAS SUBMITTED ELECTRONICALLY THROUGH AN INTERNET PROTOCOL
43 ADDRESS LOCATED OUTSIDE OF THIS STATE OR THE UNITED STATES.

44 2. REFERENCES A MAILING ADDRESS OR RESIDENTIAL ADDRESS FOR WHICH
45 ANOTHER CURRENT CLAIM WAS SUBMITTED.

1 3. IS ASSOCIATED WITH A DIRECT DEPOSIT FOR A BANK ACCOUNT ALREADY
2 USED FOR ANOTHER CURRENT CLAIM.

3 K. IF A FRAUDULENT CLAIM WAS FILED, THE DEPARTMENT MAY REFER THE
4 MATTER FOR PROSECUTION.]>>

5 <<Sec. 6. Section 23-776, Arizona Revised Statutes, is amended to
6 read:

7 23-776. Disqualification from benefits for failure to accept
8 suitable work or actively seek work; exceptions

9 A. An individual shall be disqualified for benefits if the
10 department finds the individual has failed without cause ~~[either to apply~~
11 ~~for available, suitable work, when so directed by the employment office or~~
12 ~~the department, to actively engage in seeking work, to accept suitable~~
13 ~~work when offered or to return to the individual's customary~~
14 ~~self-employment when so directed by the department]~~ [TO ACTIVELY SEEK AND
15 APPLY FOR SUITABLE WORK, TO ACCEPT AN OFFER OF SUITABLE WORK OR TO ACCEPT
16 REEMPLOYMENT AT THE SAME EMPLOYER FOR SUITABLE WORK, IF OFFERED]. The
17 disqualification shall begin with the week in which the failure occurred
18 and shall continue for the duration of the individual's unemployment and
19 until the individual has earned wages in an amount equivalent to eight
20 times the individual's weekly benefit amount otherwise payable.

21 [B. AN EMPLOYER SHALL REPORT TO THE DEPARTMENT WHEN AN INDIVIDUAL
22 WHO WAS PREVIOUSLY EMPLOYED WITH THAT EMPLOYER DOES ANY OF THE FOLLOWING:

23 1. REFUSES TO RETURN TO WORK.

24 2. REFUSES TO ACCEPT AN OFFER OF SUITABLE WORK.

25 3. FAILS, WITHOUT CAUSE, TO APPEAR FOR A SCHEDULED INTERVIEW.

26 4. FAILS TO RESPOND TO AN OFFER OF EMPLOYMENT.

27 C. THE DEPARTMENT SHALL ALLOW EMPLOYERS TO SUBMIT THE REPORTS
28 PURSUANT TO SUBSECTION B OF THIS SECTION DIGITALLY OR THROUGH EMAIL AND
29 SHALL CONDUCT AN INDEPENDENT REVIEW OF EACH REPORT TO DETERMINE WHETHER AN
30 INDIVIDUAL SHOULD BE DISQUALIFIED FROM RECEIVING BENEFITS.]

31 [B.] [D.] In determining whether ~~[or not]~~ work is suitable for an
32 individual:

33 1. During the first four weeks of a benefit period, the department
34 shall consider the degree of risk involved to the individual's health,
35 safety and morals, the individual's physical fitness and prior training,
36 the individual's experience and prior earnings, the individual's length of
37 unemployment and prospects for securing local work in the individual's
38 customary occupation and the distance of the available work from the
39 individual's residence.

40 2. After the first four weeks of a benefit period, the department
41 shall consider any employment offer that pays one hundred twenty percent
42 of the individual's weekly benefit amount to be suitable work.

1 ~~[C.]~~ [E.] Notwithstanding any other provisions of this chapter,
2 work shall not be deemed suitable and benefits shall not be denied under
3 this chapter to an otherwise eligible individual for refusing to accept
4 new work under any of the following conditions:

5 1. The position offered is vacant due directly to a strike, lockout
6 or other labor dispute.

7 2. The wages, hours or other conditions of the work offered are
8 substantially less favorable to the individual than those prevailing for
9 similar work in the locality.

10 3. As a condition of being employed, the individual would be
11 required to join a company union or to resign from or refrain from joining
12 a bona fide labor organization.

13 ~~[D.]~~ [F.] An individual is considered to have refused an offer of
14 suitable work under subsection A of this section if an offer of work is
15 withdrawn by an employer after an individual either:

16 1. Tests positive for drugs after a drug test given pursuant to
17 chapter 2, article 14 of this title by or on behalf of a prospective
18 employer as a condition of an offer of employment.

19 2. Refuses, without good cause, to submit to a drug test that is
20 required by a prospective employer as a condition of an offer of
21 employment.>>

22 <<Sec. 7. Title 36, chapter 4, article 1, Arizona Revised Statutes,
23 is amended by adding section 36-407.04, to read:

24 36-407.04. Hospitals; patient immigration status; data
25 collection; reporting requirements

26 [A. EACH HOSPITAL THAT ACCEPTS PAYMENT PURSUANT TO CHAPTER 29,
27 ARTICLE 1 OF THIS TITLE SHALL INCLUDE A PLACE ON ITS PATIENT ADMISSION OR
28 REGISTRATION FORM FOR THE PATIENT OR THE PATIENT'S REPRESENTATIVE TO STATE
29 OR INDICATE WHETHER THE PATIENT IS A UNITED STATES CITIZEN OR LAWFULLY
30 PRESENT IN THE UNITED STATES OR IS NOT LAWFULLY PRESENT IN THE UNITED
31 STATES. THE INQUIRY MUST BE FOLLOWED BY A STATEMENT ON THE FORM THAT THE
32 PATIENT'S RESPONSE WILL NOT AFFECT THE PATIENT'S CARE OR RESULT IN A
33 REPORT OF THE PATIENT'S IMMIGRATION STATUS TO IMMIGRATION AUTHORITIES.

34 B. EACH HOSPITAL SHALL SUBMIT A QUARTERLY REPORT TO THE DEPARTMENT
35 WITHIN THIRTY DAYS AFTER THE END OF EACH CALENDAR QUARTER THAT STATES THE
36 NUMBER OF HOSPITAL ADMISSIONS OR EMERGENCY DEPARTMENT VISITS WITHIN THE
37 PREVIOUS QUARTER THAT WERE MADE BY PATIENTS WHO INDICATED THAT THEY ARE A
38 CITIZEN OF THE UNITED STATES OR LAWFULLY PRESENT IN THE UNITED STATES.
39 INDICATED THAT THEY ARE NOT LAWFULLY PRESENT IN THE UNITED STATES OR
40 DECLINED TO ANSWER THE QUESTION.

41 C. THE DEPARTMENT MAY ADOPT RULES RELATING TO THE FORMAT AND
42 INFORMATION TO BE CONTAINED IN QUARTERLY REPORTS AND THE ACCEPTABLE
43 FORMATS FOR HOSPITALS TO USE IN REQUESTING INFORMATION REGARDING A
44 PATIENT'S IMMIGRATION STATUS ON HOSPITAL ADMISSION OR REGISTRATION FORMS.
45 THE RULES MAY NOT REQUIRE THE DISCLOSURE OF PATIENT NAMES OR ANY OTHER
46 PERSONAL IDENTIFYING INFORMATION TO THE DEPARTMENT.

1 D. ON OR BEFORE MARCH 1 OF EACH YEAR, THE DEPARTMENT SHALL SUBMIT A
2 REPORT TO THE GOVERNOR, THE PRESIDENT OF THE SENATE AND THE SPEAKER OF THE
3 HOUSE OF REPRESENTATIVES THAT INCLUDES THE TOTAL NUMBER OF HOSPITAL
4 ADMISSIONS AND EMERGENCY DEPARTMENT VISITS FOR THE PREVIOUS CALENDAR YEAR
5 FOR WHICH THE PATIENT OR PATIENT'S REPRESENTATIVE REPORTED THAT THE
6 PATIENT IS A CITIZEN OF THE UNITED STATES, IS LAWFULLY PRESENT IN THE
7 UNITED STATES OR IS NOT LAWFULLY PRESENT IN THE UNITED STATES OR DECLINED
8 TO ANSWER THE QUESTION. THE REPORT MUST ALSO DESCRIBE INFORMATION
9 RELATING TO THE COSTS OF UNCOMPENSATED CARE FOR ALIENS WHO ARE NOT
10 LAWFULLY PRESENT IN THE UNITED STATES, THE IMPACT OF UNCOMPENSATED CARE ON
11 THE COST OR ABILITY OF HOSPITALS TO PROVIDE SERVICES TO THE PUBLIC,
12 HOSPITAL FUNDING NEEDS AND OTHER RELATED INFORMATION. THE DEPARTMENT
13 SHALL PROVIDE A COPY OF THE REPORT TO THE SECRETARY OF STATE.]>>

14 <<Sec. 8. Title 36, chapter 29, article 1, Arizona Revised
15 Statutes, is amended by adding sections 36-2903.18 and 36-2903.19, to
16 read:

17 36-2903.18. Data matching agreements; review of member
18 eligibility information; quarterly eligibility
19 redetermination; waiver requests

20 [A. THE ADMINISTRATION SHALL ENTER INTO A DATA MATCHING AGREEMENT
21 WITH THE DEPARTMENT OF REVENUE TO IDENTIFY MEMBERS WHO HAVE LOTTERY OR
22 GAMBLING WINNINGS OF \$3,000 OR MORE. THE ADMINISTRATION SHALL REVIEW THIS
23 INFORMATION ON AT LEAST A MONTHLY BASIS. IF A MEMBER FAILS TO DISCLOSE
24 WINNINGS OF \$3,000 OR MORE AND IS IDENTIFIED THROUGH THE DATABASE MATCH,
25 THE ADMINISTRATION SHALL CONSIDER THE MEMBER'S FAILURE TO DISCLOSE THE
26 INFORMATION A VIOLATION OF THE SYSTEM'S TERMS OF ELIGIBILITY.

27 B. ON AT LEAST A MONTHLY BASIS, THE ADMINISTRATION SHALL:

28 1. RECEIVE AND REVIEW DEATH RECORDS INFORMATION FROM THE DEPARTMENT
29 OF HEALTH SERVICES CONCERNING MEMBERS AND SHALL ADJUST SYSTEM ELIGIBILITY
30 ACCORDINGLY.

31 2. REVIEW INFORMATION CONCERNING MEMBERS THAT INDICATES A CHANGE IN
32 CIRCUMSTANCES THAT MAY AFFECT ELIGIBILITY, INCLUDING POTENTIAL CHANGES IN
33 RESIDENCY AS IDENTIFIED BY OUT-OF-STATE ELECTRONIC BENEFIT TRANSFER CARD
34 TRANSACTIONS.

35 C. ON A QUARTERLY BASIS, THE ADMINISTRATION SHALL REDETERMINE THE
36 ELIGIBILITY OF ABLE-BODIED ADULTS WHO ARE ELIGIBLE PURSUANT TO SECTION
37 36-2901, 36-2901.01 OR 36-2901.07 AND WHO ARE NOT AMERICAN INDIANS OR
38 ALASKA NATIVES. FOR THE PURPOSES OF THE REDETERMINATION PROCESS, THE
39 ADMINISTRATION SHALL RECEIVE AND REVIEW INFORMATION FROM BOTH:

40 1. THE DEPARTMENT OF REVENUE CONCERNING MEMBERS THAT INDICATES A
41 CHANGE IN CIRCUMSTANCES THAT MAY AFFECT ELIGIBILITY FOR THE SYSTEM,
42 INCLUDING POTENTIAL CHANGES IN INCOME, WAGES OR RESIDENCY AS IDENTIFIED BY
43 TAX RECORDS.

44 2. THE DEPARTMENT OF ECONOMIC SECURITY CONCERNING MEMBERS THAT
45 INDICATES A CHANGE IN CIRCUMSTANCES THAT MAY AFFECT ELIGIBILITY, INCLUDING
46 CHANGES TO UNEMPLOYMENT BENEFITS, EMPLOYMENT STATUS OR WAGES.

1 D. UNLESS REQUIRED BY FEDERAL LAW, THE ADMINISTRATION MAY NOT
2 ACCEPT SELF-ATTESTATION OF INCOME, RESIDENCY, AGE, HOUSEHOLD COMPOSITION,
3 CARETAKER OR RELATIVE STATUS OR RECEIPT OF OTHER HEALTH INSURANCE COVERAGE
4 WITHOUT INDEPENDENT VERIFICATION BEFORE ENROLLMENT. THE ADMINISTRATION
5 MAY NOT REQUEST AUTHORITY TO WAIVE OR DECLINE TO PERIODICALLY CHECK ANY
6 AVAILABLE INCOME-RELATED DATA SOURCES TO VERIFY ELIGIBILITY.

7 E. THE ADMINISTRATION MAY NOT ACCEPT ELIGIBILITY DETERMINATIONS FOR
8 THE SYSTEM FROM AN EXCHANGE ESTABLISHED PURSUANT TO 42 UNITED STATES CODE
9 SECTION 18041(c). THE ADMINISTRATION MAY ACCEPT ASSESSMENTS FROM AN
10 EXCHANGE ESTABLISHED PURSUANT TO 42 UNITED STATES CODE SECTION 18041(c)
11 BUT SHALL INDEPENDENTLY VERIFY ELIGIBILITY AND MAKE ELIGIBILITY
12 DETERMINATIONS.

13 F. IF THE ADMINISTRATION RECEIVES INFORMATION CONCERNING A MEMBER
14 THAT INDICATES A CHANGE IN THE MEMBER'S CIRCUMSTANCES THAT MAY AFFECT
15 ELIGIBILITY, THE ADMINISTRATION SHALL REVIEW THE MEMBER'S ELIGIBILITY.

16 G. THE ADMINISTRATION MAY EXECUTE A MEMORANDUM OF UNDERSTANDING
17 WITH ANY OTHER DEPARTMENT OF THIS STATE FOR INFORMATION REQUIRED TO BE
18 SHARED PURSUANT TO THIS SECTION. THE ADMINISTRATION MAY CONTRACT WITH ONE
19 OR MORE INDEPENDENT VENDORS TO PROVIDE ADDITIONAL DATA OR INFORMATION THAT
20 MAY INDICATE A CHANGE IN CIRCUMSTANCES AND AFFECT AN INDIVIDUAL'S
21 ELIGIBILITY.

22 H. ON OR BEFORE APRIL 1, 2027, THE ADMINISTRATION SHALL SUBMIT TO
23 THE CENTERS FOR MEDICARE AND MEDICAID SERVICES ANY WAIVER REQUESTS
24 NECESSARY TO IMPLEMENT THIS SECTION.]

25 36-2903.19. Presumptive eligibility; limits; standards;
26 notification; training

27 [A. THE ADMINISTRATION SHALL REQUEST APPROVAL FROM THE CENTERS FOR
28 MEDICARE AND MEDICAID SERVICES FOR A SECTION 1115 WAIVER TO ALLOW THE
29 ADMINISTRATION TO ELIMINATE MANDATORY HOSPITAL PRESUMPTIVE ELIGIBILITY AND
30 RESTRICT PRESUMPTIVE ELIGIBILITY DETERMINATIONS TO CHILDREN AND PREGNANT
31 WOMEN ELIGIBILITY GROUPS. IF APPROVAL FOR THE SECTION 1115 WAIVER IS
32 DENIED, THE ADMINISTRATION SHALL RESUBMIT A SUBSEQUENT REQUEST FOR
33 APPROVAL WITHIN TWELVE MONTHS AFTER EACH DENIAL.

34 B. UNLESS REQUIRED BY FEDERAL LAW, THE ADMINISTRATION MAY NOT
35 DESIGNATE ITSELF AS A QUALIFIED HEALTH ENTITY FOR THE PURPOSE OF MAKING
36 PRESUMPTIVE ELIGIBILITY DETERMINATIONS OR FOR ANY PURPOSE NOT EXPRESSLY
37 AUTHORIZED BY STATE LAW.

38 C. WHEN MAKING PRESUMPTIVE ELIGIBILITY DETERMINATIONS, A QUALIFIED
39 HOSPITAL SHALL DO ALL OF THE FOLLOWING:

40 1. NOTIFY THE ADMINISTRATION OF EACH PRESUMPTIVE ELIGIBILITY
41 DETERMINATION WITHIN FIVE WORKING DAYS AFTER THE DATE THE DETERMINATION IS
42 MADE.

43 2. ASSIST INDIVIDUALS WHO ARE DETERMINED PRESUMPTIVELY ELIGIBLE
44 UNDER THE SYSTEM WITH COMPLETING AND SUBMITTING A FULL APPLICATION FOR
45 SYSTEM ELIGIBILITY.

1 3. NOTIFY EACH APPLICANT IN WRITING AND ON ALL RELEVANT FORMS WITH
2 PLAIN LANGUAGE AND LARGE PRINT THAT IF THE APPLICANT DOES NOT FILE A FULL
3 APPLICATION FOR SYSTEM ELIGIBILITY WITH THE ADMINISTRATION BEFORE THE LAST
4 DAY OF THE FOLLOWING MONTH, PRESUMPTIVE ELIGIBILITY COVERAGE WILL END ON
5 THE LAST DAY OF THE FOLLOWING MONTH.

6 4. NOTIFY EACH APPLICANT THAT IF THE APPLICANT FILES A FULL
7 APPLICATION FOR SYSTEM ELIGIBILITY WITH THE ADMINISTRATION BEFORE THE LAST
8 DAY OF THE FOLLOWING MONTH, PRESUMPTIVE ELIGIBILITY COVERAGE WILL CONTINUE
9 UNTIL AN ELIGIBILITY DETERMINATION IS MADE ON THE APPLICATION THAT IS
10 FILED.

11 D. THE ADMINISTRATION SHALL APPLY THE FOLLOWING STANDARDS TO
12 ESTABLISH AND ENSURE THAT ACCURATE PRESUMPTIVE ELIGIBILITY DETERMINATIONS
13 ARE MADE BY EACH QUALIFIED HOSPITAL:

14 1. WHETHER THE QUALIFIED HOSPITAL SUBMITTED TO THE ADMINISTRATION
15 THE PRESUMPTIVE ELIGIBILITY CARD WITHIN FIVE WORKING DAYS AFTER THE
16 DETERMINATION DATE.

17 2. WHETHER A FULL APPLICATION FOR SYSTEM ELIGIBILITY WAS RECEIVED
18 BY THE ADMINISTRATION BEFORE THE EXPIRATION OF THE PRESUMPTIVE ELIGIBILITY
19 PERIOD.

20 3. IF A FULL APPLICATION WAS RECEIVED BY THE ADMINISTRATION,
21 WHETHER THE INDIVIDUAL WAS FOUND TO BE ELIGIBLE UNDER THE SYSTEM.

22 E. IF THE ADMINISTRATION DETERMINES THAT A QUALIFIED HOSPITAL FAILS
23 TO MEET ANY OF THE STANDARDS ESTABLISHED UNDER SUBSECTION D OF THIS
24 SECTION FOR ANY PRESUMPTIVE ELIGIBILITY DETERMINATION THAT THE QUALIFIED
25 HOSPITAL MADE, THE ADMINISTRATION SHALL NOTIFY THE QUALIFIED HOSPITAL IN
26 WRITING WITHIN FIVE DAYS AFTER THE DETERMINATION. THE NOTICE MUST
27 INCLUDE:

28 1. FOR THE FIRST VIOLATION, BOTH OF THE FOLLOWING:

29 (a) A DESCRIPTION OF THE STANDARD THAT WAS NOT MET AND AN
30 EXPLANATION OF WHY IT WAS NOT MET.

31 (b) CONFIRMATION THAT A SECOND FINDING WILL REQUIRE THAT ALL
32 APPLICABLE HOSPITAL STAFF PARTICIPATE IN MANDATORY TRAINING BY THE
33 ADMINISTRATION ON HOSPITAL PRESUMPTIVE ELIGIBILITY RULES.

34 2. FOR THE SECOND VIOLATION, ALL OF THE FOLLOWING:

35 (a) A DESCRIPTION OF THE STANDARD THAT WAS NOT MET AND AN
36 EXPLANATION OF WHY IT WAS NOT MET.

37 (b) CONFIRMATION THAT ALL APPLICABLE HOSPITAL STAFF WILL BE
38 REQUIRED TO PARTICIPATE IN MANDATORY TRAINING BY THE ADMINISTRATION ON
39 HOSPITAL PRESUMPTIVE ELIGIBILITY RULES, INCLUDING THE DATE, TIME AND
40 LOCATION OF THE TRAINING AS DETERMINED BY THE ADMINISTRATION.

41 (c) A DESCRIPTION OF AVAILABLE APPEALS PROCEDURES BY WHICH A
42 QUALIFIED HOSPITAL MAY DISPUTE THE FINDING AND REMOVE THE FINDING FROM THE
43 QUALIFIED HOSPITAL'S RECORD BY PROVIDING CLEAR AND CONVINCING EVIDENCE
44 THAT THE STANDARD WAS MET.

45 (d) CONFIRMATION THAT IF THE QUALIFIED HOSPITAL SUBSEQUENTLY FAILS
46 TO MEET ANY STANDARD FOR PRESUMPTIVE ELIGIBILITY FOR ANY DETERMINATION,

1 THE QUALIFIED HOSPITAL WILL NO LONGER BE QUALIFIED TO MAKE PRESUMPTIVE
2 ELIGIBILITY DETERMINATIONS UNDER THE SYSTEM.

3 3. FOR THE THIRD VIOLATION, ALL OF THE FOLLOWING:

4 (a) A DESCRIPTION OF THE STANDARD THAT WAS NOT MET AND AN
5 EXPLANATION OF WHY IT WAS NOT MET.

6 (b) A DESCRIPTION OF AVAILABLE APPEALS PROCEDURES BY WHICH A
7 QUALIFIED HOSPITAL MAY DISPUTE THE FINDING AND REMOVE THE FINDING FROM THE
8 QUALIFIED HOSPITAL'S RECORD BY PROVIDING CLEAR AND CONVINCING EVIDENCE
9 THAT THE STANDARD WAS MET.

10 (c) CONFIRMATION THAT, EFFECTIVE IMMEDIATELY, THE QUALIFIED
11 HOSPITAL IS NO LONGER QUALIFIED TO MAKE PRESUMPTIVE ELIGIBILITY
12 DETERMINATIONS UNDER THE SYSTEM.]>>

13 <<Sec. 9. Section 41-708, Arizona Revised Statutes, is amended to
14 read:

15 41-708. Annual report; state employee salaries; full-time
16 equivalent positions; vacant positions;
17 applicability; definitions

18 A. On or before October 1 of each year, the department shall
19 collect from each budget unit and shall submit to the joint legislative
20 budget committee and the governor's office of strategic planning and
21 budgeting a report containing the number of full-time equivalent positions
22 and the total amount of salaries for each budget unit for the prior fiscal
23 year, delineated by:

- 24 1. Retirement system.
- 25 2. Employee tier.
- 26 3. Fund source.

27 [B. THE DEPARTMENT SHALL ALSO COLLECT A LIST FROM EACH BUDGET UNIT
28 OF ALL VACANT, FULL-TIME EQUIVALENT POSITIONS THAT HAVE BEEN VACANT FOR AT
29 LEAST ONE HUNDRED FIFTY DAYS TO INCLUDE IN THE REPORT SUBMITTED PURSUANT
30 TO SUBSECTION A OF THIS SECTION.]

31 [B.] [C.] For the purposes of this section:

32 1. "Budget unit":

33 (a) Means a department, commission, board, institution or other
34 agency of this state that receives, expends or disburses state monies or
35 incurs obligations of this state.

36 (b) Does not include the Arizona board of regents, universities
37 under the jurisdiction of the Arizona board of regents and community
38 college districts.

39 2. "Employee tier" means a class of employees in a retirement
40 system in which each employee is subject to the same employer contribution
41 rate pursuant to title 38, chapter 5.>>

1 <<Sec. 10. Title 41, chapter 4, article 1, Arizona Revised
2 Statutes, is amended by adding section 41-710.04, to read:

3 41-710.04. Agency vacancies; elimination; full-time
4 equivalent positions; adjustment; definition

5 [A. NOTWITHSTANDING ANY OTHER LAW, EACH FISCAL YEAR A BUDGET UNIT
6 SHALL ELIMINATE ANY POSITIONS WITHIN THE BUDGET UNIT THAT HAVE BEEN VACANT
7 FOR MORE THAN ONE HUNDRED FIFTY DAYS. THE BUDGET UNIT'S ALLOCATED
8 FULL-TIME EQUIVALENT POSITIONS SHALL BE ADJUSTED TO REFLECT THE
9 ELIMINATION OF ANY VACANT POSITIONS.

10 B. FOR THE PURPOSES OF THIS SECTION, "BUDGET UNIT":

11 1. MEANS A DEPARTMENT, COMMISSION, BOARD, INSTITUTION OR OTHER
12 AGENCY OF THIS STATE THAT RECEIVES, SPENDS OR DISBURSES STATE MONIES OR
13 INCURS OBLIGATIONS OF THIS STATE.

14 2. DOES NOT INCLUDE THE STATE DEPARTMENT OF CORRECTIONS, THE
15 DEPARTMENT OF PUBLIC SAFETY, THE ARIZONA BOARD OF REGENTS, UNIVERSITIES
16 UNDER THE JURISDICTION OF THE ARIZONA BOARD OF REGENTS AND COMMUNITY
17 COLLEGE DISTRICTS.]>>

18 Sec. 11. Repeal

19 Section 41-3026.21, Arizona Revised Statutes, is repealed.

20 Sec. 12. Title 41, chapter 27, article 2, Arizona Revised Statutes,
21 is amended by adding section 41-3030.27, to read:

22 41-3030.27. Department of economic security; termination July
23 1, 2030

24 A. THE DEPARTMENT OF ECONOMIC SECURITY TERMINATES ON JULY 1, 2030.

25 B. TITLE 41, CHAPTER 14 AND THIS SECTION ARE REPEALED ON JANUARY 1,
26 2031.

27 <<Sec. 13. Title 46, chapter 2, article 2, Arizona Revised
28 Statutes, is amended by adding sections 46-232, 46-233, 46-234, 46-235 and
29 46-236, to read:

30 46-232. Supplemental nutrition assistance program;
31 eligibility evaluations; public posting;
32 definitions

33 [A. TO DETERMINE OR EVALUATE SNAP ELIGIBILITY, THE DEPARTMENT OF
34 ECONOMIC SECURITY SHALL:

35 1. ENTER INTO A DATA MATCHING AGREEMENT WITH THE DEPARTMENT OF
36 REVENUE TO IDENTIFY HOUSEHOLDS WITH LOTTERY OR GAMBLING WINNINGS OF \$3,000
37 OR MORE AND, TO THE EXTENT PERMISSIBLE UNDER FEDERAL LAW, TO TREAT THE
38 DATA OBTAINED AS VERIFIED ON RECEIPT. TO THE EXTENT THE DATA MAY NOT BE
39 VERIFIED ON RECEIPT, THE DEPARTMENT OF ECONOMIC SECURITY SHALL REFER THOSE
40 HOUSEHOLDS WITH LOTTERY OR GAMBLING WINNINGS THAT ARE EQUAL TO OR GREATER
41 THAN THE RESOURCE LIMIT FOR HOUSEHOLD MEMBERS WHO ARE ELDERLY OR WHO HAVE
42 A DISABILITY AS PRESCRIBED IN 7 CODE OF FEDERAL REGULATIONS SECTION
43 273.8(b) TO THE DEPARTMENT OF ECONOMIC SECURITY FOR FURTHER INVESTIGATION.

44 2. ON AT LEAST A MONTHLY BASIS, REVIEW INFORMATION THAT IS PROVIDED
45 BY THE DEPARTMENT OF HEALTH SERVICES AND THAT IDENTIFIES INDIVIDUALS WHO
46 HAVE HAD A CHANGE IN CIRCUMSTANCES THAT MAY AFFECT SNAP ELIGIBILITY.

1 3. ON AT LEAST A QUARTERLY BASIS, REVIEW THE DEPARTMENT'S
2 INFORMATION THAT IDENTIFIES INDIVIDUALS WHO HAVE HAD A CHANGE IN
3 CIRCUMSTANCES THAT MAY AFFECT SNAP ELIGIBILITY, INCLUDING A CHANGE IN
4 UNEMPLOYMENT BENEFITS, EMPLOYMENT STATUS OR WAGES.

5 4. ON AT LEAST A MONTHLY BASIS, REVIEW THE DEPARTMENT'S INFORMATION
6 THAT IDENTIFIES INDIVIDUALS WHO HAVE HAD A CHANGE IN CIRCUMSTANCES THAT
7 MAY AFFECT SNAP ELIGIBILITY, INCLUDING POTENTIAL CHANGES IN RESIDENCY AS
8 IDENTIFIED BY OUT-OF-STATE ELECTRONIC BENEFIT TRANSFER CARD TRANSACTIONS.

9 5. ON AT LEAST A MONTHLY BASIS, REVIEW INFORMATION THAT IS PROVIDED
10 BY THE STATE DEPARTMENT OF CORRECTIONS AND THAT IDENTIFIES INDIVIDUALS WHO
11 HAVE HAD A CHANGE IN CIRCUMSTANCES THAT MAY AFFECT SNAP ELIGIBILITY.

12 6. ON AT LEAST A QUARTERLY BASIS, REVIEW INFORMATION THAT IS
13 PROVIDED BY THE DEPARTMENT OF REVENUE AND THAT IDENTIFIES HOUSEHOLDS THAT
14 HAVE HAD A CHANGE IN CIRCUMSTANCES THAT MAY AFFECT SNAP ELIGIBILITY,
15 INCLUDING POTENTIAL CHANGES IN INCOME, WAGES OR RESIDENCY AS IDENTIFIED BY
16 TAX RECORDS.

17 7. ON AT LEAST A QUARTERLY BASIS, POST ON THE DEPARTMENT'S PUBLIC
18 WEBSITE THE FOLLOWING AGGREGATED AMOUNTS THAT WERE OBTAINED FROM
19 NONCOMPLIANCE AND FRAUD INVESTIGATIONS RELATED TO SNAP, EXCLUDING
20 CONFIDENTIAL AND PERSONALLY IDENTIFIABLE INFORMATION:

21 (a) THE NUMBER OF SNAP CASES THAT WERE INVESTIGATED FOR INTENTIONAL
22 PROGRAM VIOLATIONS OR FRAUD.

23 (b) THE NUMBER OF SNAP CASES THAT WERE REFERRED TO THE ATTORNEY
24 GENERAL'S OFFICE FOR PROSECUTION.

25 (c) THE AMOUNT OF IMPROPER PAYMENTS AND EXPENDITURES.

26 (d) THE AMOUNT OF MONIES RECOVERED.

27 (e) THE AMOUNT OF MONIES SPENT FOR IMPROPER PAYMENTS AND INELIGIBLE
28 RECIPIENTS AS A PERCENTAGE OF CASES THAT WERE INVESTIGATED AND REVIEWED.

29 (f) THE AMOUNT OF MONIES SPENT BY ELECTRONIC BENEFIT CARD
30 TRANSACTIONS THAT OCCURRED OUTSIDE OF THIS STATE, CATEGORIZED BY STATE.

31 B. ON AT LEAST A MONTHLY BASIS, THE DEPARTMENT OF HEALTH SERVICES
32 AND THE DEPARTMENT OF ECONOMIC SECURITY SHALL REVIEW THE FOLLOWING
33 INFORMATION FROM FEDERAL SOURCES TO ASSESS A RECIPIENT'S CONTINUED
34 ELIGIBILITY FOR SNAP:

35 1. EARNED INCOME INFORMATION, DEATH REGISTER INFORMATION,
36 INCARCERATION RECORDS, SUPPLEMENTAL SECURITY INCOME INFORMATION,
37 BENEFICIARY RECORDS, EARNINGS INFORMATION AND PENSION INFORMATION THAT IS
38 MAINTAINED BY THE UNITED STATES SOCIAL SECURITY ADMINISTRATION.

39 2. INCOME AND EMPLOYMENT INFORMATION THAT IS MAINTAINED IN THE
40 NATIONAL DIRECTORY OF NEW HIRES DATABASE AND CHILD SUPPORT ENFORCEMENT
41 DATA THAT IS MAINTAINED BY THE UNITED STATES DEPARTMENT OF HEALTH AND
42 HUMAN SERVICES.

43 3. PAYMENT AND EARNINGS INFORMATION THAT IS MAINTAINED BY THE
44 UNITED STATES DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT.

45 4. NATIONAL FLEEING FELON INFORMATION THAT IS MAINTAINED BY THE
46 UNITED STATES FEDERAL BUREAU OF INVESTIGATION.

1 C. IF THE DEPARTMENT RECEIVES INFORMATION THAT IDENTIFIES AN
2 INDIVIDUAL WHO IS ENROLLED IN SNAP AND THAT INDICATES A CHANGE IN
3 CIRCUMSTANCES THAT MAY AFFECT THAT INDIVIDUAL'S SNAP ELIGIBILITY, THE
4 DEPARTMENT SHALL REVIEW THAT INDIVIDUAL'S CASE.

5 D. FOR THE PURPOSES OF THIS SECTION:

6 1. "DEPARTMENT" MEANS THE DEPARTMENT OF ECONOMIC SECURITY.

7 2. "SNAP" MEANS THE SUPPLEMENTAL NUTRITION ASSISTANCE PROGRAM.]

8 46-233. Department of economic security; supplemental
9 nutrition assistance program; work requirement
10 waivers; discretionary exemption prohibition

11 [A. A. THE DEPARTMENT OF ECONOMIC SECURITY MAY NOT SEEK, APPLY
12 FOR, ACCEPT OR RENEW ANY WAIVER OF WORK REQUIREMENT FOR ABLE-BODIED ADULTS
13 WITHOUT DEPENDENTS PURSUANT TO 7 UNITED STATES CODE SECTION 2015(o)(4)
14 UNLESS:

15 1. IT IS REQUIRED BY FEDERAL LAW.

16 2. IT IS AUTHORIZED BY STATE LAW.

17 B. THE DEPARTMENT OF ECONOMIC SECURITY MAY NOT EXERCISE THIS
18 STATE'S OPTION TO PROVIDE ANY EXEMPTIONS FROM THE WORK REQUIREMENT UNDER
19 7 UNITED STATES CODE SECTION 2015(o)(6)(F) UNLESS AUTHORIZED BY STATE
20 LAW.]

21 46-234. Supplemental nutrition assistance program; mandatory
22 employment and training

23 [THE DEPARTMENT OF ECONOMIC SECURITY SHALL REQUIRE ABLE-BODIED
24 ADULTS WHO ARE UNDER SIXTY YEARS OF AGE AND WHO ARE RECEIVING SUPPLEMENTAL
25 NUTRITION ASSISTANCE TO PARTICIPATE IN A MANDATORY EMPLOYMENT AND TRAINING
26 PROGRAM, AS PRESCRIBED IN 7 UNITED STATES CODE SECTION 2015(d), UNLESS THE
27 RECIPIENT IS:

28 1. IN COMPLIANCE WITH THE WORK REGISTRATION REQUIREMENTS UNDER
29 TITLE IV OF THE SOCIAL SECURITY ACT OR THE FEDERAL-STATE UNEMPLOYMENT
30 COMPENSATION SYSTEM. A RECIPIENT WHO IS NONCOMPLIANT WITH THE WORK
31 REGISTRATION REQUIREMENTS UNDER TITLE IV OF THE SOCIAL SECURITY ACT OR THE
32 FEDERAL-STATE UNEMPLOYMENT COMPENSATION SYSTEM IS NONCOMPLIANT WITH THE
33 WORK REQUIREMENTS OF 7 UNITED STATES CODE SECTION 2015(d).

34 2. A PARENT OR OTHER MEMBER OF A HOUSEHOLD WHO IS RESPONSIBLE FOR
35 THE CARE OF AN INCAPACITATED PERSON OR A DEPENDENT CHILD WHO IS UNDER SIX
36 YEARS OF AGE.

37 3. A BONA FIDE STUDENT WHO IS ENROLLED AT LEAST HALF TIME IN ANY
38 RECOGNIZED SCHOOL, TRAINING PROGRAM OR INSTITUTION OF HIGHER EDUCATION
39 UNLESS THE RECIPIENT IS INELIGIBLE TO PARTICIPATE PURSUANT TO 7 UNITED
40 STATES CODE SECTION 2015(e).

41 4. A REGULAR PARTICIPANT IN A DRUG ADDICTION OR AN ALCOHOLIC
42 TREATMENT AND REHABILITATION PROGRAM.

43 5. EMPLOYED AT LEAST THIRTY HOURS PER WEEK OR RECEIVES WEEKLY
44 EARNINGS THAT EQUAL THE MINIMUM HOURLY RATE UNDER THE FAIR LABOR STANDARDS
45 ACT OF 1938 (52 STAT. 1060; 29 UNITED STATES CODE SECTIONS 201 THROUGH
46 219), MULTIPLIED BY THIRTY HOURS.

1 6. SIXTEEN, SEVENTEEN OR EIGHTEEN YEARS OF AGE AND IS NOT THE HEAD
2 OF A HOUSEHOLD OR ATTENDS SCHOOL OR IS ENROLLED IN AN EMPLOYMENT TRAINING
3 PROGRAM ON AT LEAST A HALF-TIME BASIS.]

4 46-235. Use of supplemental nutrition assistance benefits;
5 purchases; waiver; definitions

6 [A. THE DIRECTOR OF THE DEPARTMENT OF ECONOMIC SECURITY SHALL
7 REQUEST ANY WAIVER FROM THE UNITED STATES DEPARTMENT OF AGRICULTURE TO
8 IMPLEMENT THIS SECTION THAT INCLUDES THE AUTHORITY TO RESTRICT THE
9 PURCHASE OF NONELIGIBLE FOODS USING SUPPLEMENTAL NUTRITION ASSISTANCE
10 PROGRAM BENEFITS.]

11 B. IF THE WAIVER IS NOT GRANTED, THE DIRECTOR SHALL RESUBMIT THE
12 REQUEST ANNUALLY AND MAY PURSUE THE UNITED STATES DEPARTMENT OF
13 AGRICULTURE PILOT OR DEMONSTRATION AUTHORITY AS ALLOWED UNDER FEDERAL LAW.

14 C. THE DEPARTMENT SHALL PROVIDE CLEAR GUIDANCE TO SUPPLEMENTAL
15 NUTRITION ASSISTANCE PROGRAM RECIPIENTS AND RETAILERS AND ALLOW A
16 REASONABLE IMPLEMENTATION PERIOD TO ENSURE COMPLIANCE WITH THIS SECTION.

17 D. THIS SECTION DOES NOT REDUCE BENEFIT AMOUNTS, RESTRICT ACCESS TO
18 ELIGIBLE FOODS OR LIMIT PARTICIPATION IN THE SUPPLEMENTAL NUTRITION
19 ASSISTANCE PROGRAM.

20 E. FOR THE PURPOSES OF THIS SECTION:

21 1. "ELIGIBLE FOODS" MEANS ANY FOOD ITEM THAT MAY BE PURCHASED USING
22 SUPPLEMENTAL NUTRITION ASSISTANCE PROGRAM BENEFITS AND INCLUDES THE
23 FOLLOWING CATEGORIES:

24 (a) WHOLE MEATS, POULTRY AND FISH, INCLUDING FROZEN, FRESH OR
25 CANNED PRODUCTS.

26 (b) DAIRY PRODUCTS, INCLUDING MILK, CHEESE, YOGURT, BUTTER, CREAM
27 AND MILK ALTERNATIVES.

28 (c) EGGS AND EGG SUBSTITUTES.

29 (d) FRUITS AND VEGETABLES, INCLUDING FRESH, FROZEN, DRIED OR CANNED
30 PRODUCTS WITHOUT ADDED SWEETENERS.

31 (e) GRAINS AND GRAIN PRODUCTS, INCLUDING FLOUR, RICE, PASTA,
32 CEREALS AND TORTILLAS.

33 (f) COOKING OILS AND FATS.

34 (g) WATER PRODUCTS WITHOUT ADDED SWEETENERS OR SUGAR SUBSTITUTES.

35 (h) ONE HUNDRED PERCENT FRUIT OR VEGETABLE JUICE.

36 (i) ANY FOOD ITEM APPROVED FOR PURCHASE UNDER THE FEDERAL WOMEN,
37 INFANTS AND CHILDREN FOOD PROGRAM.

38 2. "NONELIGIBLE FOODS" INCLUDES ANY OF THE FOLLOWING:

39 (a) SUGAR-SWEETENED BEVERAGES, INCLUDING SODA AND ENERGY DRINKS.

40 (b) CANDY AND CONFECTIONERY PRODUCTS.

41 (c) SNACK FOODS OF MINIMAL NUTRITIONAL VALUE AS DEFINED BY THE
42 UNITED STATES DEPARTMENT OF AGRICULTURE.

43 (d) PREPARED HOT FOODS INTENDED FOR IMMEDIATE CONSUMPTION.]

1 46-236. Payment error rate; reduction; quarterly reports;
2 requirements; auditor general

3 [A. ON OR BEFORE DECEMBER 30, 2030, THE DEPARTMENT SHALL REDUCE THE
4 SUPPLEMENTAL NUTRITION ASSISTANCE PROGRAM'S PAYMENT ERROR RATE AS REPORTED
5 BY THE UNITED STATES DEPARTMENT OF AGRICULTURE TO NOT MORE THAN THREE
6 PERCENT.]

7 B. BEGINNING IN FISCAL YEAR 2026-2027 AND EACH FISCAL YEAR
8 THEREAFTER, THE DEPARTMENT SHALL SUBMIT A QUARTERLY REPORT TO THE
9 LEGISLATURE WITHIN THIRTY DAYS AFTER THE END OF THE QUARTER THAT DETAILS
10 THE DEPARTMENT'S MONTHLY PROGRESS TOWARDS REDUCING THE PAYMENT ERROR RATE
11 AND THAT INCLUDES STRATEGIES AND BARRIERS THAT MAY BE PRESENT IN REDUCING
12 THE PAYMENT ERROR RATE.]

13 C. IF THE DEPARTMENT FAILS TO MEET ANNUAL INTERIM TARGETS
14 ESTABLISHED BY RULE OR THE FINAL TARGET AS PRESCRIBED IN SUBSECTION A OF
15 THIS SECTION, THE DEPARTMENT SHALL:

16 1. SUBMIT A CORRECTIVE ACTION PLAN TO THE LEGISLATURE WITHIN SIXTY
17 DAYS THAT INCLUDES AN ANALYSIS OF WHY THE TARGETS WERE NOT MET AND
18 TIMELINES FOR CORRECTING THE PAYMENT ERROR RATE.]

19 2. PAY FIFTY PERCENT OF ANY FEDERAL LIABILITIES THAT MAY BE IMPOSED
20 DUE TO THE EXCESS PAYMENT ERROR RATES. THE REMAINING FEDERAL LIABILITIES
21 SHALL BE PAID FROM THE STATE GENERAL FUND.]

22 3. IMPLEMENT A CORRECTIVE PLAN. IF THE DEPARTMENT FAILS TO COMPLY
23 WITH THE CORRECTIVE PLAN, THE DEPARTMENT'S ADMINISTRATIVE FUNDING SHALL BE
24 REDUCED BY TEN PERCENT UNTIL RESOLVED.]

25 D. ON OR BEFORE NOVEMBER 15, 2027, THE AUDITOR GENERAL SHALL
26 COMPLETE A SPECIAL AUDIT. THE SPECIAL AUDIT SHALL DETERMINE WHAT FACTORS
27 CONTRIBUTED TO THE PAYMENT ERROR RATE AND SHALL INCLUDE RECOMMENDATIONS TO
28 REDUCE THE PAYMENT ERROR RATE. THE DEPARTMENT SHALL IMPLEMENT THE
29 RECOMMENDATIONS WITHIN TWELVE MONTHS AFTER RECEIVING THE RECOMMENDATIONS
30 FROM THE AUDITOR GENERAL UNLESS THE RECOMMENDATIONS ARE WAIVED BY THE
31 JOINT LEGISLATIVE AUDIT COMMITTEE. THE AUDITOR GENERAL MAY REQUEST THAT
32 THE DEPARTMENT SUBMIT A WRITTEN STATUS REPORT ON THE DEPARTMENT'S
33 IMPLEMENTATION OF THE SPECIAL AUDIT RECOMMENDATIONS.]

34 E. IF THE DEPARTMENT CORRECTS THE PAYMENT ERROR RATE AHEAD OF
35 SCHEDULE, THE LEGISLATURE MAY ALLOCATE ADDITIONAL FUNDING FOR PROGRAM
36 IMPROVEMENTS.]>>

37 <<Sec. 14. Delayed repeal

38 [Section 46-236, Arizona Revised Statutes, as added by this act, is
39 repealed from and after December 31, 2032.]>>

40 <<Sec. 15. Section 46-297.01, Arizona Revised Statutes, is amended
41 to read:

42 46-297.01. Electronic benefit transfer cards; replacements;
43 out-of-state spending; fraud investigation

44 A. The department shall send each recipient who requests two
45 replacement cards within a twelve-month period a letter informing the
46 recipient that another request will initiate an investigation by the
47 department to determine whether there is fraud. If a third-party vendor

1 is administering replacement cards directly to recipients, the vendor
2 shall notify the department after a recipient requests a second
3 replacement card in a twelve-month period and makes any subsequent request
4 thereafter.

5 B. After a recipient's request for a third replacement card within
6 any twelve-month period, and any subsequent request thereafter, the
7 department shall schedule an interview with the recipient and, if the
8 department has been granted a waiver, determine whether there is fraud
9 before issuing a new card. The recipient's request for a fourth
10 replacement card requires the department to schedule an interview with the
11 recipient to determine whether there is fraud before issuing a new card.
12 The department shall request any necessary federal waivers to comply with
13 this section.

14 C. If a recipient uses more than ten percent of the recipient's
15 electronic benefit transfer card balance in a six-month period on
16 out-of-state purchases, the department shall schedule an interview with
17 the recipient to determine whether there is fraud.

18 D. ON AT LEAST A MONTHLY BASIS, THE DEPARTMENT SHALL USE THE DATA
19 FROM AN ELECTRONIC BENEFIT TRANSFER CARD TO IDENTIFY ANY INDIVIDUAL WHO
20 HAS MADE PURCHASES EXCLUSIVELY OUT-OF-STATE OVER A NINETY-DAY PERIOD. THE
21 DEPARTMENT SHALL CONTACT THE INDIVIDUAL WHO IS IDENTIFIED WITHIN THIRTY
22 DAYS TO DETERMINE WHETHER THAT INDIVIDUAL RESIDES IN THIS STATE. IF THE
23 INDIVIDUAL DOES NOT RESIDE IN THIS STATE, THE DEPARTMENT SHALL REMOVE THAT
24 INDIVIDUAL WITHIN THIRTY DAYS AFTER CONTACTING THE INDIVIDUAL. WITHIN
25 FIFTEEN DAYS AFTER THE INDIVIDUAL'S REMOVAL, THE DEPARTMENT SHALL REFER
26 THE INDIVIDUAL TO THE UNITED STATES ATTORNEY'S OFFICE FOR THE DISTRICT OF
27 ARIZONA.]>>

28 <<Sec. 16. Legislative findings

29 [A. For the purposes of section 46-235, Arizona Revised Statutes,
30 as added by this act, the legislature finds that the supplemental
31 nutrition assistance program is intended to:

- 32 1. Promote access to nutritious food.
33 2. Support the health and well-being of recipients.
34 3. Ensure responsible stewardship of taxpayer monies.

35 B. The purpose of section 46-235, Arizona Revised Statutes, as
36 added by this act, is to prioritize access to whole and minimally
37 processed foods while limiting the purchase of items with minimal
38 nutritional value.]>>

39 Sec. 17. Purpose

40 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
41 the legislature continues the department of economic security to provide
42 social services, welfare programs, vocational rehabilitation and
43 employment services and developmental disability programs.

44 Sec. 18. Retroactivity

45 Sections [1-] [11] and [2-] [12] of this act apply retroactively to
46 from and after July 1, 2026.

1 Sec. 19. Effective Date
2 <<[Sections 36-2903.18 and 36-2903.19, Arizona Revised Statutes, as
3 added by this act, are effective from and after December 31, 2026.]>>
4 Enroll and engross to conform
5 Amend title to conform

SELINA BLISS

2728FloorBLISS.docx
03/02/2026
4:58 PM
C: SK
130LRPZGU